

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

NNABUGWU CHINEDU ANDREW, AVERS LOGISTICS LTD.,
AND CJ DELUZ NIGERIA LTD., *Complainants*

DOCKET NO. 20-12

v.

MARINE TRANSPORT LOGISTICS, INC., ALLA SOLOVYEVA,
AND RAYA BAKHIREV, *Respondents*.

Served: January 24, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

INITIAL DECISION¹

I. INTRODUCTION

A. Overview

Complainants Nnabugwu Chinedu Andrew, Avers Logistics Ltd., and CJ Deluz Nigeria Ltd. commenced this proceeding by filing a complaint alleging that Respondents Marine Transport Logistics, Inc. (“MTL”), Alla Solovyeva, and Raya Bakhirev violated the Shipping Act of 1984 (“Shipping Act”) sections 41102(c), 41104(3), 41104(10), 40901(a), 41102(6), and 41102(b), with regard to seventeen automobiles. Complaint at 32-34.

Respondents filed an answer denying the allegations, arguing that Complainants abandoned the subject vehicles, and asserting that the claims are barred by the statute of limitations and the doctrine of laches. Opposition at 1-5.

As discussed more fully below, Complainants have not established a violation of the Shipping Act because they have not established that Respondents’ practices were unreasonable, occurred on a normal and customary basis, or were the proximate cause of loss.

B. Procedural History

On August 6, 2020, a notice of filing of complaint and assignment was issued for this proceeding. On August 27, 2020, Respondents filed their answer.

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

On September 16, 2020, Complainants filed a motion seeking an order striking Respondents' answer, prohibiting Respondents from supporting their defense or introducing documents, and issuing a default decision. On September 17, 2020, Respondents filed their opposition to the motion for default decision. The motion was denied on September 18, 2020.

The parties engaged in discovery. On May 6, 2021, an order on motions to compel granted in part and denied in part both Complainants' motion to compel and Respondents' cross-motion to compel, and a briefing schedule was issued. Complainants filed a motion for reconsideration, which was denied, and a second motion for reconsideration, which was also denied.

On August 31, 2021, Complainants filed their brief, proposed findings of fact, and appendix. On September 28, 2021, Respondents filed their opposition brief, appendix, proposed findings of fact, and opposition to Complainants' proposed findings of fact. On October 13, 2021, Complainants filed their reply brief and response to Respondents' proposed findings of fact. Some pages were missing from the reply brief and the complete reply brief was filed on October 21, 2021. No objection was received, and the complete reply brief is hereby accepted.

C. Arguments of the Parties

Complainants argue that Respondents acted as ocean transportation intermediaries ("OTIs"); the claimed acts and omissions occurred on a normal, customary, and continuous basis; the acts and omissions are unjust and unreasonable; and the acts and omissions are the proximate cause of Complainants' claimed loss. Brief at 28-48.

Respondents assert that Raya Bakhirev should be dismissed, and a finding made that the case against her was frivolous, as her role as an accountant/bookkeeper has no relationship to a violation of the Shipping Act. Opposition at 1. Respondents further assert that the claims are barred by the statute of limitations and the doctrine of laches and Complainants abandoned the subject vehicles. Opposition at 1-5.

In their reply, Complainants assert that the claims are not barred by the statute of limitations or the doctrine of laches and the argument that the vehicles were abandoned has no merit and is contradicted by the evidence. Reply at 4-18.

D. Evidence

Under the Administrative Procedure Act, an administrative law judge may not issue an order "except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence." 5 U.S.C. § 556(d); *see also Steadman v. SEC*, 450 U.S. 91, 102 (1981). This initial decision is based on the pleadings, exhibits, briefs, proposed findings of fact and conclusions of law, and replies thereto filed by the parties.

This initial decision addresses only material issues of fact and law. Proposed findings of fact not included in this decision were rejected, either because they were not supported by the evidence or because they were not dispositive or material to the determination of the allegations in the complaint or the defenses thereto. Administrative adjudicators are "not required to make

subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are ‘material.’” *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-94 (1959). To the extent individual findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent individual conclusions of law may be deemed findings of fact, they shall also be considered findings of fact.

Specific findings of fact are in section two, prior to the analysis and conclusions of law in part three, and the order in part four.

II. FINDINGS OF FACT

A. Relevant Entities

1. Complainant CJ Deluz Nigeria Ltd. is a foreign limited liability corporation located in Lagos, Nigeria. Complaint at 1 ¶ 1.
2. Complainant Avers Logistics Ltd. is a foreign limited liability corporation located in Lagos, Nigeria. Complaint at 1 ¶ 2.
3. Complainant Nnabugwu Chinedu Andrew is an individual residing in Lagos, Nigeria, who represented Complainants in their business dealings with Respondents giving rise to this proceeding. Complaint at 2 ¶¶ 3-4.
4. Complainants are automobile dealers. Complaint at 10 ¶ 55; Opposition at 2-3.
5. Respondent MTL is a New York Corporation licensed by the Federal Maritime Commission as a non-vessel-operating common carrier (“NVOCC”), FMC License No. 018709. Complainants’ Proposed Findings of Fact (“CPFF”) ¶ 13; Respondents’ Response to Proposed Findings of Fact (“RCPFF”) ¶ 13; *see also* www2.fmc.gov/oti/NVOCC.aspx (last visited December 29, 2021).
6. MTL is a New Jersey Corporation with its primary place of business at 63 New Hook Road, Bayonne, NJ 07002. Complaint at 2 ¶ 5; Answer at 2 ¶ 5.
7. MTL is an international shipping company, providing freight forwarding and logistics services to customers on a worldwide basis. CPFF ¶ 11; RCPFF ¶ 11.
8. Respondent Alla Solovyeva is an individual with a last known business address located at 63 New Hook Road, Bayonne, NJ 07002. Complaint at 2 ¶ 6; Answer at 2 ¶ 6.
9. Alla Solovyeva is an officer of MTL. Complaint at ¶ 8; Answer at ¶ 8.
10. Alla Solovyeva is a shareholder of MTL. Complaint at ¶ 9; Answer at ¶ 9.
11. Alla Solovyeva has signatory authority and direct control over MTL. Complaint at ¶ 10; Answer at 10.

12. The operation and supervision of MTL's activities are conducted by Alla Solovyeva. Complaint at ¶ 11; Answer at ¶ 11.
13. Respondent Raya Bakhirev is an individual with a last known business address located at 63 New Hook Road, Bayonne, NJ 07002. Complaint at ¶ 7; Answer at ¶ 7.
14. Raya Bakhirev is an employee of MTL. Complaint at ¶ 13; Answer at ¶ 13.
15. Raya Bakhirev is employed by MTL as an accountant/payroll employee. CPFF ¶¶ 8-9; RCPFF ¶¶ 8-9; Complaint at ¶ 15; Answer at ¶ 15.

B. Shipments at Issue

16. There are 17 automobiles in dispute in this proceeding:
 - 2007 Toyota 4Runner VIN # JTEZU14R670096538; Storage Entry Date 9/21/2017;
 - 2010 Lexus RX 350 VIN # 2T2BK1BABAC039422; Storage Entry Date 9/29/2017;
 - 2009 Toyota Venza VIN # 4T3ZK11A79U017319; Storage Entry Date 8/31/2017;
 - 2006 Lexus GS 300 VIN # JTHBH96S865006993; Storage Entry Date 8/7/2017;
 - 2008 Lexus RX 350 VIN # 2T2HK31U58C080845; Storage Entry Date 6/9/2017;
 - 2007 Lexus RX 350 VIN # 2T2HK31U47C022708; Storage Entry Date 6/7/2017;
 - 2001 Toyota Camry VIN # 4T1BF22K51U966626; Storage Entry Date 5/9/2017;
 - 2007 Toyota Avalon VIN # 4T1BK36B57U245968; Storage Entry Date 5/2/2017;
 - 2011 Toyota Venza VIN # 4T3ZK3BB2BU041102; Storage Entry Date 1/26/2017;
 - 2004 Toyota Camry VIN # 4T1BA32K34U502288; Storage Entry Date 1/25/2017;
 - 2002 Lexus ES 300 VIN # JTHBF30G725019803; Storage Entry Date 1/25/2017;
 - 2008 Honda Accord VIN # 1HGCP26728A103906; Storage Entry Date 1/25/2017;
 - 2010 Toyota Venza VIN # 4T3BK3BBXAU030283; Storage Entry Date 1/24/2017;
 - 2003 Lexus ES 300 VIN # JTHBF30G830101344; Storage Entry Date 1/17/2017;
 - 2002 Lexus RX 300 VIN # JTHF10UX20257130; Storage Entry Date 1/17/2017;
 - 1996 Toyota Avalon VIN # 4T1BF12BXTU132140; Storage Entry Date 3/9/2017
 - 2006 Toyota 4Runner VIN # JTEZU14R560072942; Storage Entry Date 9/20/2017

Complaint Appendix A at CX 1; Respondents' Appendix, Ex. 5 at 1-2.²

17. Complainants purchased the automobiles from auto auctions in the United States and hired MTL to pick up the vehicles and arrange for trucking of the vehicles to MTL's warehouses. Complaint ¶ 49; Answer ¶¶ 21, 49.
18. In addition to picking up the vehicles and warehousing them, MTL provided a range of other services to Complainants, including delivery of the vehicles to the port of loading, ocean freight forwarding services, and customs clearance cargo consolidation services. Complaint at 3 ¶ 21; Answer at 3 ¶ 21; CPFF ¶ 12; RCPFF ¶ 12.

² Respondents failed to include page numbers on the exhibits in the appendix. For ease of reference, the exhibits are treated as numbered beginning with the first page in each exhibit.

19. MTL also shipped some of Complainants' vehicles to Nigeria and issued house bills of lading for those vehicles. Complaint ¶ 30; Answer ¶ 30; CX 116, CX 119-120.
20. Mediterranean Shipping Company S.A. ("MSC") transported some of the vehicles at issue to Nigeria and issued a master bill of lading for those shipments. Complainants' Appendix B at 25; Complainants' Appendix A at CX 102-103.
21. An email from MTL dated March 24, 2016, provides MTL's storage policy that vehicles were entitled to receive free storage for 30 days and \$10 per day after expiration of the 30 days and states: "MTL reserves the right to place a lien on any cargo/vehicle/boat stored at our warehouse facilities with unpaid storage charges, MTL also reserves the right to dispose of such cargo at owner's expense or sell it at public or private auction to satisfy outstanding charges." Respondents' Appendix, Ex. 5 at 31-33 (email from Oleg Smirnov at MTL listing MTL's storage fee schedule with a link to MTL's website detailing MTL's policies and list of Complainants' vehicles in storage).
22. MTL reminded Complainants of the storage policy of 30 free days, then \$10/day. Respondents' Appendix, Ex. 5 at 10 (Email from MTL to Avers Logistics dated May 5, 2017, Subject "Re: 960609912), at 1 (Email dated January 23, 2018, from MTL to Alla Solovyev and Avers Logistics, Subject "Reconciliation").
23. Some of Complainants' vehicles exceeded the free 30 days storage and some of them accrued unpaid storage charges. Complainants' Appendix A at CX 15-24, CX 101-108; Respondents' Appendix, Ex. 1 at 1-2, 12-13; Respondents' Appendix, Ex. 2 at 1-3, 5-20, 24-26, 29-35, 37; 45, 48-51, 55-56, 58-64, 72-81, 87, 89, 97-98, 106-109, 113, 117-120, 122-133; Respondents' Appendix, Ex. 5 at 1-4.
24. MTL issued a discount on some of the storage fees owed by Complainants. Respondents' Appendix, Ex. 2 at 29 (invoice for \$500, reflecting 202 days of storage fees with \$1,520 discount applied), at 30 (invoice for \$500, reflecting 139 days of storage fees with \$890 discount applied), at 31 (for \$500, reflecting 138 days of storage fees with \$880 discount applied), at 32 (invoice for \$500, reflecting 118 days of storage fees with \$680 discount applied), at 33 (invoice for \$65, reflecting 26 days of storage fees with 75% discount applied), at 34 (invoice for \$40, reflecting 16 days of storage fees with 75% discount applied), at 35 (invoice for \$35, reflecting 14 days of storage fees with 75% discount applied).
25. MTL billed Complainants for "cutting and dismantling" of some of Complainants' vehicles. Respondents' Appendix, Ex. 2 at 4; Complainants' Appendix A at CX 119.
26. Some of the vehicles at issue were purchased as salvage vehicles and some appear to have substantial damage. Respondents' Appendix, Ex. 6.
27. "Cutting and dismantling" as described in MTL's invoice appears to mean that MTL cut or positioned in a secure manner the parts that were dangling from salvage vehicles, for example, a salvage vehicle with a loose front bumper must be cut before it can be loaded.

Respondents' Response to Proposed Findings of Fact at 15, ¶ 162; Respondents' Appendix, Ex. 6.

28. MTL raised concerns to Complainants about their failure to make payments and Complainants promised to make payments and tried to renegotiate storage and shipping fees. Respondents' Appendix, Ex. 1 at 4-9; Ex. 5 at 1-4, 16-33.

29. For example, an email from Complainants to MTL dated April 19, 2017, states:

I made an offer of 20% and all ALLA could say to me is that somebody is asking for her storage... Please I want Alla to know that she did not tell me that she gave my vehicles to someone. And maybe she is asking for the storage to use it and replace my car as IT may be that the vehicle is gone too like others ... NOW I AM MAKING AN OFFER OF \$1000 FOR THE 2004 HIGHLANDER. PLEASE IF YOU CAN NOT HELP ME WITH THAT.. THEN IT MEANS THAT THE VEHICLE IS ALSO GONE... I WILL HAVE NO OTHER CHOICE THAN TO FORGET IT...

Respondents' Appendix, Ex. 5 at 26.

30. An email from MTL dated October 11, 2017, states "You are well aware of storage policies (30 days free \$10/car per day thereafter). We are being billed by the warehouse. [T]hese charges are not from MTL, but from warehouse." Respondents' Appendix, Ex. 5 at 16.

31. In an email to MTL on October 12, 2017, Complainants express frustration that a vehicle was not shipped and that MTL has his "money and I am waiting to hear that you have loaded and ship for over 3 weeks not just for you to hear that the car has storage." The email also blames MTL for the delays and additional storage but then states "if you can not accept my offer of \$250 now on the storage. Please remove the 2013 ford edge and replace with 2007 Camry" indicating that "I can not sell them because of its high cost" and asked if "you can put them back for auction and give me the 80% of what I bought them." He further asks for an accounting of the money that had already been sent. Respondents' Appendix, Ex. 5 at 15 (Capitalization in original).

32. An email from Alla Solovyeva dated October 12, 2017, in response states:

By this time you have a lot of storage fees on your inventory, and I sent to you numerous emails with The same question, if you are agree to pay for the storage fees, but never received no answer from you. For this reason I do not give instructions to Maria for the loading and permission as well. She is not loaning (sic) Your containers, and you are getting frustrated and accusing her being bad to you. Please can you get More organized? If you keep your vehicles for 6 month in storage, than you know you have to pay for that, Or make your purchases and deliveries faster. Until we will get the confirmation from you that you will be Responsible for the storage charges

in LA and will not receive the payment for the storage we will not be Able to load no containers for you. If you have any questions please do not hesitate to reply. I want to remind to you about my last emails about storage fees in NY. I negotiated the storages from thousands of Dollars down to \$300/vehicle, but you never replied to me that you agree, and will pay. For this reason we are not Loading your cargo in NY too. Please lets resolve all these issues amicably, and advise when we will get the payment For all storage fees. Maria will send to you update with the charges in NY and LA.

Respondents' Appendix, Ex. 5 at 14 (Capitalization in original).

33. MTL warned Complainants about the storage fees numerous times and attempted to work with Complainants to resolve outstanding invoices but Complainants did not make the promised payments. Respondents' Appendix, Ex. 2 at 29-35; Ex. 5 at 13-26; Ex. 5 at 1-4.
34. MTL notified Complainants that they had unpaid storage charges for their vehicles and that a lien would be placed on the cars should the storage charges not be paid. Respondents' Appendix, Ex. 1 at 4-9.
35. An email from Alla Solovyev dated January 23, 2018, regarding reconciliation states: "My Company will not proceed with the shipping unless the full prepayment for the services will be received. Do not forget that the storage charges are building up daily." Respondents' Appendix, Ex. 5 at 4.
36. An email from Alla Solovyev to Complainants dated February 5, 2018, regarding reconciliation states:

Chinnedu we never received no respond on this email with the storage charges calculations. Please advise how are you going to resolve this issue? Your vehicles are in storage since 2016[.] And you still did not pay for the storage services of your cars. MTL is trying to negotiate the storage charges Amicably and requesting (sic) you seriously look at this issue and resolve it asap.

Respondents' Appendix, Ex. 5 at 1.

37. Notices dated March, 23, 2018, regarding non-payment for storage and services, warns that failure to receive payment "will cause us, without further notice, to record a claim of Lien and/or serve a Stop Notice and/or proceed with any other collection measures we consider necessary for the protection of our investment," stating:

With our preliminary notice date 03/06/2018, we complied with the lien provision of state of New Jersey, USA with the NJ state code. Because we are reluctant to file a claim of lien on all of your cargo, without once again notifying all concerned. Be advised that we not received your payment in the amount of our service and a storage of your cars up to today March 23, 2018.

Respondents' Appendix, Ex. 1 at 4-9.

38. MTL seized some of Complainants' vehicles on the basis that they were for compensation for storage charges owed. Respondents' Appendix, Ex. 2 at 1, 3, 23.
39. MTL also refused to load Complainants' shipments for delivery until Complainants paid outstanding charges owed on their vehicles. Respondents' Appendix, Ex. 5 at 13, 15.
40. ALJ Forwarders is listed as "consignee" or the "notify party" on some of MTL's shipping documents for the shipments at issue, as well some MSC bills of lading. *See, e.g.*, Complainants' Appendix, Ex. A at CX 102, CX 109, CX 116, CX 118, CX 120, CX 136, CX 137, CX 142, CX 144.
41. The record contains a June 25, 2018, email from Andre Bou Jaoude, Managing Director/CEO of ALJ Forwarders Services Ltd Lagos, Nigeria, to MTL stating: "Mr. Chinedu Andrew Nnabugwu refuse to clear his vehicles, claiming that there is an issue between him and MTL, further more he mentioned that he didn't give MTL order to ship his vehicles. So let me know what next pls." Respondents' Appendix, Ex. 7; *see also* Respondents' Appendix, Ex. 13 at 2-3 ("The container can be released and below [are] the Agent contact details.").
42. Complainants did not pick up Container # TCNU2645133, which was a 40 Ft High Cube containing 5 vehicles:

2010 Lexus RX 350 Vin # 2T2BK1BA8AC039422
2011 Toyota Venza Vin # 4T3ZK3BB2BU041102
2008 Honda Accord EX Vin # 1HGCP26728A103906
2009 Toyota Venza Vin # 4T3ZK11A79U017319
2008 Lexus RX 350 Vin # 2T2HK31U5BC080845

Respondents' Appendix, Ex. 5 at 7-9.

43. Storage charges accrued on all of the vehicles at issue. Respondents' Appendix, Ex. 5 at 13. Although there were agreements to reduce the storage charges due, the vehicles continued to remain in storage and incurred additional storage charges. Respondents' Appendix, Ex. 2 at 1, 3, 29-35; Ex. 5 at 13-26.

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Preliminary Issues

1. Jurisdiction

The Shipping Act provides that a "person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part." 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 2006 FMC LEXIS 19, at *33, 30 S.R.R. 991,

997-99 (FMC May 10, 2006); *see also* *Cargo One, Inc. v. Cosco Container Lines Co.*, Docket No. 99-24, 2000 FMC LEXIS 14, at *38-42, 28 S.R.R. 1635, 1645 (FMC Oct. 31, 2000). Complainants allege a violation of the Shipping Act within the Commission’s jurisdiction.

2. Burden of Proof

To prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.155; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 08-03, 2014 FMC LEXIS 35, at *41 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics*, Docket No. 15-04, 2021 FMC LEXIS 125, at *4 (FMC Aug. 18, 2021) (“*Crocus Remand FMC*”). It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180, 1993 FMC LEXIS 73, at *40 (ALJ Dec. 9, 1993), adopted in relevant part, 26 S.R.R. 1424, 1994 FMC LEXIS 19 (FMC June 13, 1994).

B. Relevant Law

The Shipping Act defines and regulates a number of different types of entities that are involved in the international shipment of goods by water, including two types of ocean transportation intermediaries. “The term ‘ocean transportation intermediary’ means an ocean freight forwarder or a non-vessel-operating common carrier.” 46 U.S.C. § 40102(20). “The term ‘ocean freight forwarder’ means a person that – (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments.” 46 U.S.C. § 40102(19).

“The term ‘non-vessel-operating common carrier’ means a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(17). To be an NVOCC, the entity must meet the Shipping Act’s definition of common carrier.

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(7).

The statutory definitions are echoed in the Commission’s regulations:

Ocean transportation intermediary means an ocean freight forwarder or a non-vessel-operating common carrier. For the purposes of this part, the term

- (1) *Ocean freight forwarder (OFF)* means a person that – (i) In the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (ii) Processes the documentation or performs related activities incident to those shipments; and
- (2) *Non-vessel-operating common carrier (NVOCC)* means a common carrier that does not operate the vessels by which the ocean transportation is provided, and is a shipper in its relationship with an ocean common carrier.

46 C.F.R. § 515.2(m).

Common carrier means any person holding itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation that:

- (1) Assumes responsibility for the transportation from the port or point of receipt to the port or point of destination, and
- (2) Utilizes, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country

46 C.F.R. § 515.2(e).

The Commission promulgated regulations providing examples of NVOCC services performed by OTIs.

Non-vessel-operating common carrier services refers to the provision of transportation by water of cargo between the United States and a foreign country for compensation without operating the vessels by which the transportation is provided, and may include, but are not limited to, the following:

- (1) Purchasing transportation services from a common carrier and offering such services for resale to other persons;
- (2) Payment of port-to-port or multimodal transportation charges;
- (3) Entering into affreightment agreements with underlying shippers;
- (4) Issuing bills of lading or other shipping documents;
- (5) Assisting with clearing shipments in accordance with U.S. government regulations;

- (6) Arranging for inland transportation and paying for inland freight charges on through transportation movements;
- (7) Paying lawful compensation to ocean freight forwarders;
- (8) Coordinating the movement of shipments between origin or destination and vessel;
- (9) Leasing containers;
- (10) Entering into arrangements with origin or destination agents;
- (11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.

46 C.F.R. § 515.2(k).

The complaint alleges that Respondents violated section 41102(c) of the Shipping Act, which states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

On September 7, 2018, the Commission issued a notice of proposed rulemaking “to obtain public comments on clarification and guidance regarding the Commission’s interpretation of the scope of 46 U.S.C. 41102(c).” Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367 (Sept. 7, 2018) (“NPRM”). In the notice of proposed rulemaking, the Commission stated *inter alia*:

Specifically, the Commission is considering an interpretive rule consistent with Commission precedent . . . that would restore the scope of § 41102(c) to prohibiting unjust and unreasonable *practices* and *regulations*. These decisions require that a regulated entity engage in a practice or regulation on a *normal*, *customary*, and *continuous* basis and a finding that such practice or regulation is unjust or unreasonable to violate that section of the Shipping Act.

NPRM, 83 Fed. Reg. at 45368 (emphasis in original, internal citations omitted).

On December 17, 2018, the Commission issued a final rule adopting the September 7, 2018, notice of proposed rulemaking without change. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018) (“Final Rule”). Rule 545.4, states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;

- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

C. Discussion

Complainants allege in their complaint that Respondents violated sections 41102(c), 41104(3), 41104(10), 40901(a), 41102(6), and 41102(b) of the Shipping Act, with regard to the seventeen automobiles in dispute. Complaint at 32-34. However, in their brief and reply, Complainants only argue that Respondents violated section 41102(c) and make no arguments about sections 41104(3), 41104(10), 40901(a), 41102(6), and 41102(b). “[F]ailure to brief and argue [an] issue during the proceedings is grounds for finding that the issue has been abandoned.” *Coalition for the Abolition of Marijuana Prohibition v. City of Atlanta*, 219 F.3d 1301, 1326 (11th Cir. 2000) (internal citations omitted). Accordingly, as Complainants failed to argue these violations, they are deemed abandoned.

To adjudicate the remaining claim of a section 41102(c) violation, the first question is whether Respondents were regulated entities with respect to the vehicles. If so, then the next question is whether the elements required by Commission Rule 545.4 have been met. Finally, the remaining arguments will be addressed.

1. Whether Respondents Acted as Regulated Entities

a. MTL

The parties agree that at “all times relevant hereto, MTL is an international shipping company, providing freight forwarding and logistics services to customers on a worldwide basis.” CPFF ¶ 11; RCPFF ¶ 11. The parties further agree that at all times relevant hereto, MTL is licensed by the Federal Maritime Commission as non-vessel operating common carrier (“NVOCC”) under license number 018709. CPFF ¶ 13; RCPFF ¶ 13. Therefore, MTL is a regulated entity. This element is not in dispute and has been established by Complainants.

b. Alla Solovyeva

Complainants assert: “On the issue of the personal liability of Alla Solovyeva being personal [sic] liable as QI, as well as Raya Bakhirev’s personal involvement in the matters set forth herein resulting in her own personal liability, the Presiding Officer is respectfully referred to the Zenkovich Affidavit and the emails of Alla Solovyeva.” Brief at 22. Respondents do not directly address the liability of Alla Solovyeva in their opposition.

Section 41102(c) governs the conduct of regulated entities, not individuals. To violate section 41102(c), one must be acting as an ocean common carrier, marine terminal operator, or an ocean transportation intermediary. There is no evidence in the record showing that Ms. Solovyeva acted as one of the above entities. Acting as a QI and being personally involved in an entity's business, or even being an owner of an entity, is not sufficient to pierce the corporate veil and treat the person as the entity's alter ego. *See generally Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd.*, Docket No. 96-05, 2001 FMC LEXIS 39, *154 (FMC June 1, 2000). Moreover, Dennis Zenkovich outlines questionable business practices but not practices that would justify piercing the corporate veil. Complainants' Appendix, Ex. A at CX 121-125. The claims against Ms. Solovyeva are therefore dismissed with prejudice.

c. Raya Bakhirev

The parties agree that at all times relevant hereto, Raya Bakhirev was employed by MTL as an accountant/payroll employee. CPFF ¶¶ 8-9; RCPFF ¶¶ 8-9. Complainants do not assert that Ms. Bakhirev was an OTI, arguing only that she was an accountant, that she and MTL were playing "accounting games," and that "she admits to her involvement with and knowledge of the manner in which complainants' monies were handled by MTL." Brief at 22; Reply at 5.

Respondents contend:

Raya Bakhirev should be dismissed from this case at the outset — and a finding made that the filing and maintaining a case as against her was frivolous — as her role as an accountant/bookkeeper has no relationship to any allegation of a violation of the Shipping Act. Complainants abandoned any theory of liability as to Ms. Bakhirev, which is evidenced by the fact that Ms. Bakhirev is not mentioned in anywhere in the Complainants' 194 proposed findings of fact, except that she was employed by MTL as an accountant/bookkeeper.

Opposition at 1.

Counsel for Complainants should be well aware that individual corporate employees should not be named as parties to Shipping Act claims unless there is a basis to pierce the corporate veil and find that they acted as an alter ego of the corporation. Counsel is cautioned that in future Commission proceedings, naming individuals instead of, or in addition to corporations, without sufficient reason, may result in a finding that the claim against the individual was frivolous and imposition of sanctions. The claims against Ms. Bakhirev are dismissed. The analysis of the section 41102(c) elements will focus only on Respondent MTL.

2. Section 41102(c) Elements

To establish a violation of section 41102(c), a complainant must demonstrate that the respondent is a regulated entity; the practice or regulation is connected with receiving, handling, storing, or delivering property; the practice or regulation is unjust or unreasonable; the claimed acts or omissions occurred on a normal, customary, and continuous basis; and the practice or regulation is the proximate cause of the claimed loss. 46 C.F.R. § 545.4. Each element is discussed below.

a. MTL Acted as an OTI

Because section 41102(c) governs the activities of common carriers, marine terminal operators, and ocean transportation intermediaries, to violate it an entity must be a common carrier, marine terminal operator, or an ocean transportation intermediary within the meaning of the Shipping Act. As discussed above, the parties agree that MTL acted as an NVOCC and a regulated entity. An NVOCC is a type of OTI. 46 U.S.C. § 40102(20). Accordingly, the evidence establishes that MTL acted as an OTI as required for the first element.

b. Connected with Receiving, Handling, Storing, or Delivering Property

Complainants assert that the alleged violations are directly related to and connected with the receiving, handling, storing, and/or delivering of property as the vehicles were stored in anticipation of export. Brief at 5. MTL asserts that the vehicles were abandoned but does not contest that the alleged violation is connected with receiving, handling, storing, or delivering property. Opposition at 3-4.

This dispute centers on the receiving, handling, storing, or delivering of seventeen vehicles. The evidence shows that Complainants, who are automobile dealers located in Nigeria, hired Respondents to accept delivery of seventeen automobiles purchased by Complainants at automobile auctions located within the United States, and then ship them abroad. Complaint ¶¶ 30, 49; Answer ¶¶ 21, 30, 49. Accordingly, the evidence shows that the alleged violations involved receiving and storing the vehicles in anticipation of export and was connected to receiving, handling, storing, or delivering the vehicles. Complainants have established this element.

c. Unjust and Unreasonable

Complainants assert that MTL violated section 41102(c) of the Act by “releasing complainants’ automobiles to unauthorized consignees, detaining various automobiles and refusing to ship them due to allegedly unpaid storage charges for other unrelated automobiles; by misdelivering said automobiles; and in one instance, by destroying two automobiles and cutting them in half without receiving instructions from complainants to do so.” Brief at 2, 46-47. Complainants also assert that refusal to ship vehicles based on debts from “other unrelated (older) cargo” is unreasonable. Brief at 41-42.

MTL contends that Complainants failed to pay storage for the vehicles, abandoned the vehicles, refused to pick up their vehicles, and were not aware of the condition of the salvage vehicles that they purchased. Opposition at 3-5.

The evidence includes numerous email exchanges between 2016 and 2018, wherein MTL advised Complainants of storage fees and raised concerns about Complainants’ failure to make payments, while Complainants tried to negotiate storage and shipping fees and promised to make payments. Respondents’ Appendix, Ex. 1 at 4-9; Ex. 5 at 1-4. The evidence shows that MTL warned Complainants about the storage fees numerous times, provided notice that a lien might be imposed, and attempted to work with Complainants to resolve outstanding invoices but that Complainants did not make the promised payments. Respondents’ Appendix, Ex. 2 at 29-35; Ex.

5 at 1-4, 13-26. It appears that Respondents did not think they should have to pay storage fees or that they expected to be able to renegotiate the storage fees. *See, e.g.*, Respondents' Appendix, Ex. 5 at 26, 15. Complainants have not established that the storage fees were unreasonable, that the liens were asserted without notice or in an unreasonable manner, or that the vehicles were delivered unreasonably.

The evidence does not support a finding that Complainants refused to ship vehicles based on debts from other unrelated (older) cargo but rather that storage charges accrued on all of the vehicles at issue. Respondents' Appendix, Ex. 5 at 13. In addition, although there were agreements to reduce some of the storage charges due, the vehicles continued to remain in storage and incurred additional storage charges. Respondents' Appendix, Ex. 2 at 1, 3, 29-35; Ex. 5 at 13-26. Although payment was not due until after vehicles shipped, it was reasonable for MTL to seek assurances that Complainants would pay for the storage fees prior to shipping and to refuse to ship the vehicles until such assurances were received.

The evidence does not show that MTL damaged any vehicles, but rather that the salvage vehicles were purchased in a damaged condition. The evidence shows that loose or dangling parts or bumpers from the damaged vehicles needed to be removed in order to secure those vehicles for transportation. Respondents' Appendix, Ex. 6. The evidence also shows that MTL sold some of the vehicles to recover payments due and that Complainants were advised that this would occur. Respondents' Appendix, Ex. 2 at 1, 3; Ex. 1 at 4, 7, 9. The evidence is not sufficient to find that MTL acted unreasonably, given the condition of the vehicles and Complainants' failure to pay.

Moreover, the evidence shows that Complainants failed to pick up vehicles when given the opportunity. Respondents' Appendix, Ex. 7. Complainants did not pick up Container TCNU2645133, which was a 40 Ft High Cube containing 5 vehicles. Respondents' Appendix, Ex. 5 at 7-9. While MTL could have been more clear about how Complainants' funds were applied and what amounts were due, the evidence is not sufficient to find that MTL acted unreasonably under these facts.

MTL contends that Complainants abandoned the vehicles. The evidence is not sufficient to find that the vehicles were abandoned because Complainants were continuing to negotiate and engage with MTL about the vehicles. However, Complainants have the burden of proof and it is not necessary for Respondents to establish that the vehicles were abandoned. Complainants have not met their burden to establish that MTL's conduct was unreasonable.

The evidence is not sufficient to find that MTL acted unreasonably given Complainants' repeated failure to make payments. Complainants have not met their burden to establish this element of a section 41102(c) claim. Even though the claim cannot be successful without this element, for a full analysis, the other elements will also be discussed.

d. Normal, Customary, and Continuous Basis

Complainants allege that Respondents' acts that violated the Shipping Act occurred on a normal, customary, and continuous basis. Brief at 39-55. Complainants assert that MTL's practice was alleged in another Commission case, Docket No. 16-16, and that there are

“numerous examples of MTL’s various unjust and unreasonable acts” in this proceeding. Brief at 40-43. Complainants also point to two other Commission proceedings, informal dockets 1901(I) and 1932(I). Brief at 44.

MTL does not directly address this argument, focusing on Complainants’ abandonment of the vehicles. Opposition at 4-5.

Complainants have the burden to establish that the unjust and unreasonable acts in question occurred on a normal, customary, and continuous basis and thus were a “regulation or practice” by Respondent. In this case, the evidence shows that MTL’s normal and customary policies regarding storage rates and policies were shared with the Complainants multiple times, including as early as 2016. Respondents’ Appendix, Ex. 5 at 1, 10, 31-33.

Other than MTL’s storage rates and policies entered into evidence by the parties, there is limited evidence regarding MTL’s normal and customary policies regarding storage rates and policies. The record contains evidence regarding the vehicles at issue in this proceeding and shipments in a few other FMC proceedings. Complainants also point to two previous cases alleging that MTL violated section 41102(c): *Best Way USA, Inc. v. Marine Transport Logistics* and *Samir Abusetta d/b/a Sammy’s Auto Sales v. JAX Auto Shipping and Marine Transport Logistics*.

In *Best Way*, the Commission affirmed a Settlement Officer’s finding that MTL violated section 41102(c) for a 2007 shipment, in part based on unlawful storage charges at origin as well as en route. *Best Way USA, Inc. v. Marine Transport Logistics*, 33 S.R.R. 13, FMC Docket No. 1901(I), Order Affirming Settlement Officer Decision (“FMC Order”) at 9 (FMC Nov. 8, 2013). The *Best Way* decision was issued prior to the 41102(c) interpretive rule and stands for the proposition that the NVOCC is responsible for increases in shipping costs after agreeing to transport goods. *Best Way*, FMC Order at 3-4. In *Best Way*, it does appear that there was a violation of section 41102(c) based, in part, on unreasonable storage charges assessed prior to a vehicle being exported. *Best Way*, FMC Order at 3. The *Best Way* case, decided prior to the interpretive rule, does not discuss whether or not this occurred on a normal, customary, and continuous basis.

In *Samir Abusetta*, Jax Auto Shipping was found liable for violating the Shipping Act. *Samir Abusetta d/b/a Sammy’s Auto Sales v. Jax Auto Shipping and Marine Transport Logistics*, FMC Docket No. 1932(I), Order Reversing, In Part, Decision of the Settlement Officer and Issuing Reparations (“FMC Order”) (FMC Oct. 18, 2016). The Commission stated that “to determine whether Jax violated § 41102(c), the Commission must analyze whether it acted as an OTI in connection with Claimant’s shipment.” *Samir Abusetta*, FMC Order at 6. However, the Commission also found that the claimant hired Jax, not MTL, to ship the cargo and therefore that MTL did not violate the Shipping Act. *Samir Abusetta*, FMC Order at 7. Complainants’ argument that this put MTL on notice is not relevant to whether the conduct occurred on a normal, customary, and continuous basis, the issue in this proceeding, as MTL was not found responsible.

Two other more recent cases against MTL, Docket No. 15-04 and Docket No. 16-16, have addressed the question of whether MTL violated section 41102(c). In Docket No. 15-04, the Commission found that the interpretive rule applies and that Crocus had not proven that MTL's conduct occurred on a normal, customary, and continuous basis as required by Rule 545.4 where there was only one other violation, in December 2007. *Crocus Remand FMC*, 2021 FMC LEXIS 125, at *2-3; 46 C.F.R. § 545.4. The claims in Docket No. 16-16, also with a different complainant, resulted in an initial decision finding that MTL had an unreasonable practice of liquidating vehicles without sufficient notice or legal process. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, FMC Docket No. 16-16(I), Initial Decision on Remand (ALJ Sept. 29, 2021). That decision is currently on appeal before the Commission.

Even if MTL's conduct in this proceeding was found to be unreasonable, the evidence does not show that MTL engaged in the allegedly unreasonable conduct on a normal, customary, and continuous basis. The findings in *Best Way* that the storage charge for the one shipment was unreasonable, in Docket No. 15-04 that the storage charge for one shipment was unreasonable, and in Docket No. 16-16 of an unreasonable practice regarding liquidation, are not sufficient to establish that MTL's storage practices and procedures were unreasonable in this proceeding or that they occurred on a normal, customary, and continuous basis. Accordingly, Complainants fail to meet their burden to demonstrate that the allegedly unjust and unreasonable acts by MTL occurred on a normal, customary, and continuous basis, a prerequisite for a successful claim for reparations under the section 41102(c) interpretive rule. 46 C.F.R. § 545.4; Final Rule, 83 Fed. Reg. at 64479.

Complainants also contend that the interpretive rule should not be applied retroactively. Brief at 45-46. The Commission, in *Crocus Remand FMC*, thoroughly discussed the retroactivity of this Final Rule, finding that "§ 545.4 is not impermissibly retroactive as applied to Crocus's § 41102(c) claim for reparations." *Crocus Remand FMC*, 2021 FMC LEXIS 125, at *6-14. The same logic would apply to this proceeding and it is therefore appropriate to apply Commission Rule 545.4 to this proceeding.

Complainants have not established that MTL's alleged unreasonable conduct is occurring on a normal, customary, and continuous basis and is a part of MTL's normal business practices. Indeed, this proceeding is fact intensive and focused on negotiations between the parties, rather than normal business practices. Accordingly, this element of a section 41102(c) violation is not met.

e. Proximate Cause of Loss

Complainants allege that despite paying "numerous sums of monies to respondents for storage and other charges," that they never saw the seventeen cars again and were never compensated for their loss. Brief at 47-48. Respondents assert that "Complainants were counting on these vehicles to be disposed so that they can file this case, and such is consistent with their behavior, as mentioned above, in refusing to pick up the vehicles." Opposition at 5.

The evidence shows that the vehicles were lost due to complainant's failure to pay for and pick up the vehicles. The evidence is not sufficient to determine Complainants' motivation, however, such a finding is not necessary. Accordingly, Complainants have not met their burden to establish this element of a section 41102(c) claim.

3. Remaining Arguments

Given the findings above, Respondents' affirmative defenses, including statute of limitations and laches, are moot. In addition, the extensive record was sufficient to rule on the material issues in this proceeding. Additional discovery regarding these vehicles would not have impacted the findings that MTL's conduct was not unreasonable, did not occur on a normal, customary, and continuous basis, and was not the proximate cause of loss. The evidence does not support finding that failure to provide discovery impacted the determination.

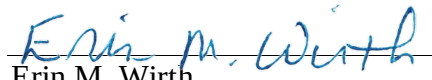
IV. ORDER

Upon consideration of the record herein, the arguments of the parties, the findings and conclusions set forth above, and the determination that Complainants have not established a violation of the Shipping Act, it is hereby

ORDERED that the complaint filed by Nnabugwu Chinedu Andrew, Avers Logistics Ltd., and CJ Deluz Nigeria Ltd. be **DISMISSED WITH PREJUDICE**. It is

FURTHER ORDERED that any other pending motions or requests be **DISMISSED AS MOOT**. It is

FURTHER ORDERED that this claim be **DISCONTINUED**.


Erin M. Wirth
Chief Administrative Law Judge